Good News

Is the forecast in this book depressing, or "bad news?" It is bad news only if you believe that declines in markets and contractions in business are abnormal. It is depressing only if you prefer evading reality to dealing with it. On the other hand, if setbacks, like advancements, are simply a fact of economic life, then to be warned of their approach can only be good news. The bad news is being oblivious and unprepared; the good news is being informed in advance of an impending change in the long term trend of social psychology. Indeed it is a wonderful gift, because while depressions are inevitable, personal bankruptcy and suffering are not. Forewarning gives you time to prepare, to protect yourself by arranging your business and finances accordingly even as times still appear prosperous. If you take the proper actions, you can even put yourself in a position to do something that no fund manager has ever done: make money in a bear market. If you are a fund manager who feels stuck with a forced bullish posture, you can sell your business and let someone else wrestle with the prolonged, tricky, and painful bear market, while you enter a gentlemanly retirement from the world of Wall Street, pursuing your personal passions as you sit out the Grand Supercycle bear. The Wave Principle provides us an advance peek at the probabilities. Accept the gift. Afterward, it is generally too late.

Needless to say, the opinion expressed in this book is far out of favor on Wall Street, not to mention Main Street. Long term forecasts that indicate a change in trend at the right time will never have a widespread acceptance. The reason that such forecasting is dismissed is that by nature, human beings project the future linearly, not cyclically. If you think about the consequences of this trait, you will realize that *the propensity for linear projection is precisely the trait that causes the excesses that produce social cyclicality*. A good deal of study, experience and practice are required to unlearn the natural tendency and adopt the correct orientation. The Wave Principle is a tool for *anticipating* trend changes and events; it does not merely reflect them. By definition, then, an outlook based upon it cannot be popularly accepted until the forecasted trend is well past its center point. When the superbullish *Elliott Wave Principle* was published in 1978, almost nobody bought it. Eight years later, deep into the bull market, tens of thousands of copies were being sold. When this book is published, almost nobody outside *Elliott Wave*